

AI POLICY· STRATEGIC ANALYSIS

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The Precedent Weapon

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The Precedent Weapon

How the Pentagon's Designation of Anthropic as a Supply Chain Risk Is Rewriting the Rules for Every Technology Vendor

UPDATED – Current as of 17 October 2026. This edition covers the dispute from the February 2026 designation through the Northern District of California's final judgment of 27 August, the D.C. Circuit's 2–1 decision of 25 September upholding the FASCSA designation, and Anthropic's petition for rehearing filed on 13 October.

In March 2026, the U.S. Department of War designated Anthropic – an American AI company – a 'supply chain risk to national security,' using authorities built to keep Huawei and Kaspersky out of U.S. government systems. The trigger was Anthropic's refusal to drop two usage restrictions: no mass domestic surveillance of Americans, and no fully autonomous weapons without human oversight. Seven months on, two federal courts have ruled on two different statutes and come to opposite conclusions. A district court in San Francisco struck down one designation as unconstitutional retaliation. The D.C. Circuit upheld the other, holding that a vendor's ability to shape how its AI model behaves can itself be a supply chain risk, whatever the vendor's motive. The second ruling is the one that will define the terms on which every technology vendor engages with the U.S. military for the next decade.

This report is not investment advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy.

Executive Summary

The dispute between Anthropic and the Department of War has produced a split outcome that is more consequential than either a clean win or a clean loss. On 27 August 2026, Judge Rita F. Lin of the Northern District of California entered final judgment for Anthropic. She vacated the designation under 10 U.S.C. § 3252, the President's directive ordering every federal agency to stop using Anthropic, and the Secretary's order barring defense contractors from doing any business with the company, finding First Amendment retaliation, a denial of due process, and action in excess of statutory authority. Four weeks later, on 25 September, a divided D.C. Circuit panel upheld the parallel designation under the Federal Acquisition Supply Chain Security Act (FASCSA), 41 U.S.C. § 4713 – the instrument the Department needs to exclude Claude from its own systems and from contractors' performance of Department work. Anthropic has petitioned for rehearing, and the court has withheld its mandate while the petition is pending.

The D.C. Circuit's reasoning is what makes this case a precedent weapon. The court held that a supplier can 'manipulate' a product within the meaning of FASCSA simply by controlling how it operates – including by training an AI model to refuse certain tasks – and that the supplier's motive is irrelevant. Bad faith, foreign ties and covert action are no longer required. On that reading, any technology vendor that retains design control over its product after sale, and that declines a term the Department considers essential, can be excluded from the defense supply chain under a statute written for hostile actors. The question is no longer whether the executive branch can use supply chain authorities against a domestic company. One appellate panel has said it can. The question is whether the full court, the Supreme Court or Congress narrows that power before it is used again.

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- **Two statutes, two courts, opposite results.** Section 3252 defines supply chain risk as risk from 'an adversary'; the San Francisco court found that Anthropic's good-faith contract position was nothing of the kind and vacated the designation. FASCSA defines it as risk from 'any person'; the D.C. Circuit held that this broader text requires no hostile intent. Strictly speaking, the two rulings are not in conflict, since each court was interpreting a different statutory definition, and the outcome in each case reflects the text Congress chose.
- **The decisive word was 'manipulate', not 'adversary'.** The majority gave 'otherwise manipulate' its ordinary meaning – 'to skillfully arrange, operate, or control' – and held that the definition depends on 'what Anthropic does, not why Anthropic does it.' Constitutional training, model refusals and the prospect of future model versions were enough.
- **Procedural safeguards gave way to speed.** The panel treated the missing pre-designation notice as harmless error, accepted after-the-fact process because of the pace of AI development, and upheld the finding that no less intrusive measure was reasonably available. The upshot is that FASCSA's procedural protections now offer a targeted vendor much less than their text suggests.
- **The exclusion is now confined to defense.** Civilian agencies are free to use Claude, contractors' commercial and non-defense work is unaffected, and the order barring defense contractors from all business with Anthropic has been vacated. What survives is a Department of War exclusion, enforceable through contract modifications and a FASCSA order that has not yet been posted in SAM.gov.
- **The commercial impact is asymmetric – and now overwhelmingly so.** Anthropic raised $65 billion at a $965 billion valuation in May and reported roughly $16.8 billion in revenue for the September quarter. The risk, in other words, lies less with Anthropic itself than with the precedent the case sets for other vendors.
- **The non-obvious risk is universal exposure.** Every frontier AI model is trained to refuse some requests, and every software vendor ships updates. Under the panel's reading, whether that control amounts to a supply chain risk is largely a matter for the Secretary's judgment. Put differently, the same restriction may be perfectly acceptable as a contract term and yet grounds for exclusion if the vendor insists on enforcing it without the Department’s consent.

Key Findings

1. The speed of this dispute has itself become a legal issue

The dispute moved from contract negotiation to designation to litigation in under two weeks, and from there to final rulings on both statutory tracks within seven months. The speed itself has become a legal fact. The D.C. Circuit relied on it to excuse the Department's procedural shortcuts, while the Northern District of California treated it as evidence that the outcome had been decided before any risk assessment was made.

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KEY DATES — FEBRUARY TO OCTOBER 2026

Feb 27	Presidential Directive posted on Truth Social; Secretary Hegseth announces designation and contractor ban on X
Mar 3	Formal designation letters issued under § 3252 and FASCSA (received March 4)
Mar 9	Suit filed in N.D. Cal. (3:26-cv-01996) and petition for review filed in the D.C. Circuit (26-1049)
Mar 26	N.D. Cal. grants preliminary injunction against all three Challenged Actions
Apr 8	D.C. Circuit denies a stay of the FASCSA designation but expedites the case, citing 'substantial challenges'
May 19	D.C. Circuit oral argument before Judges Henderson, Katsas and Rao
Jun 3	Secretary denies reconsideration; second petition (26-1162) consolidated on June 24
Aug 27	**N.D. Cal. final judgment for Anthropic — § 3252 designation vacated, permanent injunction entered**
Sep 25	**D.C. Circuit upholds FASCSA designation, 2–1 (Katsas, Rao; Henderson dissenting)**
Oct 13	Anthropic petitions for panel rehearing or rehearing en banc; mandate withheld

Two features of the sequence matter for what comes next. First, the Department never relied on a single instrument. It issued parallel designations under two statutes with different definitions and different routes to judicial review, so a loss under one left the other standing. Any future use of these authorities against a domestic vendor should be expected to follow the same dual-track pattern.

Second, the government's rationale shifted as the case progressed. The original justification, set out in a four-page memo by Under Secretary Emil Michael, assumed that Anthropic could alter or shut off Claude after deployment on classified networks. The government later dropped that premise, and the Secretary's reconsideration order stated that the determination 'did not depend' on post-deployment control. The D.C. Circuit sustained the designation on a narrower ground: Anthropic shapes Claude's behavior through training and can do so again in every new version it delivers.

2. The two statutes were read differently because they say different things.

The Department invoked two overlapping authorities, and their definitions of 'supply chain risk' differ in ways that proved decisive. Practitioners and compliance professionals need to understand them separately.

10 U.S.C. § 3252, the Department-specific authority, defines supply chain risk as the risk that 'an adversary may sabotage, maliciously introduce unwanted function, or otherwise subvert' a covered system. Judge Lin held that this language is directed at hostile actors and does not extend to a domestic company's good-faith negotiation of contractual usage restrictions. She found no articulable basis to believe that Anthropic would sabotage its own model, vacated the designation and permanently enjoined its enforcement. She also held that the designation was unlawful retaliation for protected speech, and that the Department had imposed what amounted to permanent debarment without the pre-deprivation process the Fifth Amendment requires.

FASCSA, 41 U.S.C. § 4713, defines supply chain risk more broadly: the risk that 'any person may sabotage, maliciously introduce unwanted function, extract data, or otherwise manipulate' a covered article so as to 'surveil, deny, disrupt, or otherwise manipulate' its function or use. The D.C. Circuit majority, in an opinion by Judge Gregory Katsas joined by Judge Neomi Rao, said it had 'no quarrel' with the San Francisco court's reading of § 3252 but held that § 4713 is different. 'Any person' cannot

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be limited to foreign entities. 'Maliciously' modifies only 'introduce', not the verbs around it. And 'manipulate' carries its ordinary meaning, 'to skillfully arrange, operate, or control.' The definition is therefore satisfied by conduct alone, regardless of motive: it depends on 'what Anthropic does, not why Anthropic does it.' The court applied a presumption favoring the government in national-security procurement statutes and rejected any requirement that the conduct be covert.

Because Congress gave the D.C. Circuit exclusive jurisdiction over FASCSA challenges, the San Francisco judgment does not control the FASCSA designation, and the panel said so expressly. The result is that the instrument with the narrower definition has been struck down, while the instrument with the broader definition – the one that operates through the Federal Acquisition Regulation – has been upheld.

3. The new theory of risk: training a model is 'manipulating' it.

The most important part of the D.C. Circuit's opinion is its account of what Anthropic actually did that amounted to manipulation. The court did not find sabotage, a backdoor or a hidden kill switch. It relied on ordinary features of how frontier AI models are built and maintained. Claude's behavior reflects its 'constitutional' training. Anthropic 'may encode additional restrictions each time it delivers any new version of the model.' Claude had refused certain prompts involving classified materials and certain agency queries. And an incident during a sensitive overseas operation had caused alarm within the Department and at a prime contractor. In the court's view, the record showed that Anthropic's model training 'does effectively enforce contractual usage restrictions.'

The court also accepted the Department's argument that testing models before deployment could not solve the problem, given the opacity of large models and the pace of new releases. The theme surfaced at oral argument in May, when Judge Katsas observed that 'AI three months from now will be totally different from the AI of today' and that, setting aside the rhetoric and the kill-switch concern, 'the model is unpredictable.' The opinion put the point more memorably: the Department 'cannot utilize AI systems that remain trapped in amber.'

The contrast with OpenAI shows where the line now sits. OpenAI's Pentagon agreement was amended in early March to add protections against mass domestic surveillance and autonomous weapons, so the substance of the two companies' restrictions is similar. What differs, on the court's account, is control. The Department excluded Anthropic, the court found, 'because Anthropic refused to agree to a contract term' – use for all lawful purposes. A restriction the Department has accepted is a negotiated contract term. A restriction the vendor maintains through training, over the Department's objection, can be treated as a supply chain risk.

> ⚠ **THE NON-OBVIOUS LEGAL RISK**
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> Every frontier AI model is trained to refuse some requests, and every major software vendor ships updates that change how its product behaves. If those capabilities amount to the ability to 'manipulate' a covered article, then almost every technology vendor is, in principle, a potential supply chain risk, and the only practical limit is the Secretary's assessment of whether that control threatens the Department's operations. The majority confined its holding to the facts 'at least as applied here', and Judge Henderson warned in dissent that the reading leaves contractors to '[a]gree to the Secretary's demands or risk being designated a national security threat.' Government contracts practitioners have already noted that ordinary commercial practices – software updates, version retirements, access cut-offs for non-payment – could be characterized the same way. The precedent does not depend on AI. It applies to any product whose vendor keeps control over its design after sale.

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4. Procedural safeguards gave way to the speed of AI.

FASCSA requires notice to the affected source and an opportunity to respond before an exclusion takes effect, unless urgent national security interests require otherwise. The Department invoked the urgency exception in a single sentence. The D.C. Circuit assumed, without deciding, that the urgency finding was reviewable and might have been wrong, then held any error harmless. Anthropic received the materials by 19 March, responded, and lost on reconsideration, so 'requiring another go-round would be pointless.' The court applied a harmless-error rule even though the statute directs the court to hold unlawful a covered action taken without the required procedures.

On due process, the panel assumed that Anthropic had protected interests but held that post-deprivation process was enough because the government had to act quickly. It found urgency in the pace of AI development, the breakdown of negotiations, and reports that Claude had been used in military strikes days after Anthropic's refusal. It rejected the argument that a six-month removal window was inconsistent with urgency. It also upheld the Department's finding that less intrusive measures, such as simply terminating the contract, were not reasonably available given how deeply Claude was integrated into Department systems. The Department, the court said, could choose 'a clean break instead of courting the delay, expense, and uncertainty' of alternatives.

The consequence is significant. Anthropic's procedural arguments were among its strongest at the outset of the litigation, and the San Francisco court accepted them under the Fifth Amendment. The D.C. Circuit, applying FASCSA, effectively held that in a fast-moving technology sector the statute's procedural protections can be satisfied after the fact. For a vendor facing a FASCSA designation, the realistic opportunity to be heard now comes after exclusion, not before it.

5. The two courts disagreed about why the Department acted.

The sharpest conflict between the two courts is not about statutory text. It is about motive. Judge Lin found that the government's 'contemporaneous words and deeds confirm that the challenged actions were based on a desire to make a public example out of Anthropic for its “arrogance” in criticizing the government, not based on any articulable basis to believe that Anthropic would actually sabotage its model.' The D.C. Circuit majority, reviewing the same Secretary's decision of the same day, found no causal link between Anthropic's speech and its exclusion. The Department had kept negotiating after Anthropic's public advocacy and acted only when talks broke down, and the Secretary's social media attacks were directed at Anthropic's refusal of 'all lawful uses.' 'The nub of this dispute,' the majority concluded, 'was contractual.'

Judge Karen LeCraft Henderson, who had called the designation 'a spectacular overreach by the department' at oral argument, dissented. She read FASCSA's verbs in light of the statute's purpose of countering '[h]ostile nation state and other bad actors', and concluded that it does not extend to 'a contractor's honest and upfront enforcement of restrictions on a covered article's use.' Fifteen amicus briefs had been filed in the D.C. Circuit, from trade associations, former national security officials, 149 former judges, civil liberties groups and AI professionals.

Anthropic's rehearing petition calls the two courts' findings on retaliation irreconcilable. Whether or not the full court agrees, the split matters strategically. A vendor that criticizes the government in public while negotiating with it may win a retaliation claim before one court and lose it before another, on materially the same record. The more durable lesson is that the D.C. Circuit's reasoning gives the government a clean path: provided the exclusion is framed around the vendor’s refusal of a contract term, the vendor’s speech becomes largely irrelevant to the legal analysis.

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COURTS' OWN WORDS — ONE DISPUTE, TWO READINGS

'The empty invocation of national security is not a blank check to punish and retaliate against government critics.' — Judge Rita F. Lin, N.D. Cal., final judgment, 27 August 2026

'[T]he Department removed Anthropic from its supply chain not because of its advocacy, but because Anthropic refused to agree to a contract term.' — Judge Gregory Katsas for the D.C. Circuit majority, 25 September 2026

FASCSA does not extend to 'a contractor's honest and upfront enforcement of restrictions on a covered article's use.' — Judge Karen LeCraft Henderson, dissenting, 25 September 2026

6. The exclusion has narrowed to the defense sector, but its effects are far from trivial

The practical scope of the Department's action is now far narrower than what was announced in February. Judge Lin's final judgment vacated the Presidential Directive ordering every federal agency to stop using Anthropic, the clause of the Hegseth Directive barring defense contractors from doing any business with the company, and the implementing orders of nine agencies. It does not require any agency to buy from Anthropic; it prevents the government from punishing the company outside lawful procurement channels. The General Services Administration had already restored Anthropic to its pre-directive status in April. Civilian agencies – including the Energy Department's national laboratories, where Claude had been widely used for scientific and nuclear safety work – are no longer under any legal instruction to remove it, although whether every program has been restored is not public.

What remains is the FASCSA exclusion from the Department of War's own supply chain. The Department has directed removal of Claude from all of its systems and networks and told contractors to stop using Anthropic products in Department work. Its Chief Information Officer set an end-of-September deadline, and the Air Force Research Laboratory told contractors in July to inventory Anthropic use by 1 August and complete removal by 1 September. Under FAR 52.204-30, however, a FASCSA order issued after a solicitation applies to an existing contract only through an amendment or modification, and as of mid-October no FASCSA order naming Anthropic had been posted in SAM.gov. Contractors may still use Claude commercially and for non-defense federal work, provided that use is kept separate from Department contract performance.

⚠ NON-OBVIOUS STRATEGIC RISK

The secondary boycott is not entirely gone. The order barring contractors from all business with Anthropic has been vacated, but practitioners report that the Department has suggested excluded products may not be used on certain contractor systems even outside contract performance. FASCSA authorizes exclusions from covered procurements; it does not authorize the Department to regulate contractors' private commercial relationships. If the Department presses that position through contract modifications and informal guidance rather than a formal order, most contractors will comply rather than litigate. The secondary boycott could then return through compliance practice even though it has been defeated in court.

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7. The operational contradiction now runs through Mythos.

The government's position has always contained a contradiction. The same Department that designated Claude a national security risk relied on it in active operations: Claude was reportedly used in strikes on Iran within hours of the President's ban, and senior officials acknowledged that a deeply embedded system could not be removed overnight. The D.C. Circuit turned that fact to the government's advantage, citing the strikes as evidence of the urgency that justified skipping pre-designation process.

Since April, the contradiction has taken a sharper form. Anthropic's Claude Mythos Preview, a model with advanced cyber capabilities that the company has made available to only about 40 organizations, has drawn intense interest across the national security community. Axios reported in April that the National Security Agency – part of the Department of War – was using Mythos despite the designation. Pentagon Chief Technology Officer Emil Michael insisted that Anthropic remained a supply chain risk, but called Mythos 'a separate national security moment' requiring networks to be hardened and said agencies were accessing it for evaluation. In June, Commerce Department export controls led Anthropic to suspend access to its Mythos-tier models until the controls were lifted at the end of the month. Throughout, the administration has been defending the designation in court while working out how to put Anthropic's most capable model to defensive use.

> *"I don't know how those two things can both be true in reality" — Retired Navy Rear Admiral Mark Dalton, on the Pentagon treating Claude as essential to national defense while designating it a national security threat*

The contradiction does not undermine the D.C. Circuit's ruling as a matter of law; the court left it to 'the President and the Secretary of War' to decide 'how best to balance the competing risks.' But it matters strategically. It shows that the Department's objection is not to Anthropic's technology but to the terms on which Anthropic supplies it. That makes the dispute negotiable in a way a genuine security finding would not be, and it means the designation will be tested whenever the government needs a capability that only the designated vendor can supply.

8. The commercial impact is asymmetric – and now overwhelmingly so.

The designation was widely expected to damage Anthropic commercially. The opposite has happened. Claude rose to the top of the Apple App Store in the days after the ban, consumer sign-ups surged and enterprise demand accelerated. In May, Anthropic closed a $65 billion Series H at a $965 billion post-money valuation. In an October investor briefing, the company reported September-quarter revenue of about $16.8 billion and adjusted operating profitability, and it is reportedly preparing for an initial public offering as early as November.

The defense-sector loss is real but bounded. In March, Anthropic's chief financial officer testified that one partner had cancelled orders worth more than $100 million and that a further $180 million in negotiations had been suspended, and defense technology firms moved quickly to replace Claude. Those losses are small relative to the company's revenue base. For Anthropic, the designation is now less a financial threat than a disclosure item: prospective public-market investors will need to weigh the defense exclusion, the durability of the San Francisco judgment and the possibility of further government action.

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COMMERCIAL EXPOSURE PROFILE — OCTOBER 2026

$965B	~$16.8B	>$280M	2–1
Post-money valuation (Series H, May 2026)	Quarterly revenue (Q3 2026, reported investor briefing)	Defense revenue cancelled or suspended (sworn testimony, March 2026)	D.C. Circuit vote upholding the FASCSA designation

The asymmetry is itself the strategic point. The vendor least exposed to a procurement exclusion was the one targeted. Smaller AI companies, and technology vendors whose revenue depends far more heavily on defense work, do not have that resilience. For them, the D.C. Circuit's ruling works less as a legal standard than as a price signal: maintaining usage restrictions the Department objects to now carries a measurable risk of exclusion.

Forward-Looking Implications

The following horizon assessment reflects the position after the D.C. Circuit's decision and Anthropic's petition for rehearing. The dominant variable is no longer whether the government can use supply chain authorities against a domestic company, but how far the D.C. Circuit's reading of FASCSA will be allowed to stand.

CURRENT HORIZON ASSESSMENT

Near Term (0–6 weeks)	The D.C. Circuit will decide whether to call for a government response to Anthropic's rehearing petition. A call for a response is the first sign that active judges are interested; an outright denial would leave the panel judgment in place. The mandate stays withheld while the petition is pending. On the California track, the government's interlocutory appeal has been held in abeyance in the Ninth Circuit, and the ordinary 60-day window to appeal the 27 August final judgment closes on 26 October. Watch also for a FASCSA order naming Anthropic in SAM.gov and for contract modifications implementing the exclusion.
Medium Term (6 weeks–6 months)	Rehearing en banc is rarely granted in the D.C. Circuit. If it is denied, Anthropic will have 90 days to petition the Supreme Court, and the conflicting retaliation findings of the two courts strengthen the case for review. Anthropic's expected public offering will put the designation into formal risk disclosures. The FY2027 NDAA remains unresolved: the House passed its bill 216–212 on 22 July, but the Senate bill stalled after a failed cloture vote on 14 July. Practitioners have flagged draft language affecting one of the two designation statutes; whether Congress narrows or broadens the definitions is the most consequential legislative variable.
Long Term (6+ months)	If the panel's reading of FASCSA stands, the Department will have a judicially approved means of excluding any vendor, domestic or foreign, whose control over its product could constrain the Department's use of it, without any need to prove bad intent. AI companies negotiating with the Department will price that risk into their terms, and the likely result is convergence on 'all lawful use' language, with any restrictions written into contracts rather than enforced in the models themselves. If the full court, the Supreme Court or Congress reinstates a requirement of hostile intent, FASCSA will return to its original purpose. In either case, the deeper strategic costs are the ones that most current analysis underweights. The first is a domestic AI sector less willing to build safeguards into its products. The second is a precedent that other governments can invoke when excluding U.S. technology on equally elastic grounds.

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Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked, or what the strategic goals of a given market participant may be.

01. Treat the two designations as separate legal instruments.

The § 3252 designation has been vacated and its enforcement permanently enjoined. The FASCSA designation has been upheld by a divided panel, with the mandate withheld pending rehearing. Compliance planning should track the FASCSA designation, and should not assume that the San Francisco judgment protects Department of War contract performance.

02. Act on written direction, but prepare now.

Under FAR 52.204-30(b)(4), a FASCSA order issued after a solicitation applies to an existing contract only through an amendment or contract modification, and no FASCSA order naming Anthropic has yet been posted in SAM.gov. Until a contracting officer issues written direction, there is no general obligation to remove Claude. But the Department has signalled its intent clearly, and components such as the Air Force Research Laboratory have already set removal deadlines. Transition plans should be ready to execute.

03. Audit by contract, not by enterprise.

The exclusion covers use in the performance of Department of War contracts. Inventory where Anthropic models touch that work, including indirect use through third-party platforms, SaaS products, developer tools and cloud services such as AWS Bedrock and Microsoft AI Foundry. Document the boundary between covered work and the rest of the enterprise, route Anthropic-related certifications through a single reviewer, and raise with the contracting officer any certification request that asks about company-wide non-use, which goes beyond what the exclusion requires.

04. Do not over-comply on commercial and civilian work.

Contractors' commercial use of Claude and its use on non-defense federal work are not prohibited. The order that would have barred defense contractors from doing any business with Anthropic has been vacated, and civilian agencies are free to use Claude. Enterprise-wide removal goes beyond what the law currently requires and carries its own operational costs. If the Department seeks to restrict use outside contract performance, ask for the legal basis in writing.

05. If you supply AI to the Department, renegotiate where control sits.

The D.C. Circuit's reasoning implies that the risk lies less in the content of a usage restriction than in who controls its enforcement. Vendors that want to keep safeguards should write them into the contract, where the Department has accepted them, rather than relying solely on model behavior the Department cannot inspect or override. Vendors should also review update, deprecation and version-retirement practices for Department deployments, since the court treated the ability to change future versions as part of the risk.

06. Map the precedent beyond AI and beyond the United States.

Nothing in the panel's reading of 'otherwise manipulate' is specific to AI. Any vendor that retains control after sale over software, firmware or connected hardware falls within the logic of the decision, and firms with defense exposure should identify where such control exists in their own products. Firms selling abroad should expect foreign governments to invoke the same reasoning when excluding U.S. suppliers on grounds of vendor control rather than hostile intent.

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Live Intelligence Triggers

The following are the specific signals that will determine how this situation resolves and on what timeline. Each is an active monitoring item.

01 **D.C. Circuit action on the rehearing petition**

The most important near-term signal. If the court calls for a government response, at least one active judge is interested in rehearing. A grant of rehearing en banc would vacate the panel judgment and reopen the statutory question in full. A denial starts the 90-day clock for a petition for certiorari.

02 **Government appeal of the San Francisco final judgment**

The Ninth Circuit appeal of the preliminary injunction (No. 26-2011) has been held in abeyance since April pending the D.C. Circuit case. Watch for a fresh notice of appeal from the 27 August judgment, due within 60 days, and for any motion to revive the Ninth Circuit proceedings. If the government does not appeal, the § 3252 ruling becomes final and that route is closed for this dispute.

03 **A FASCSA order naming Anthropic in SAM.gov**

A formal order is the mechanism that converts the D.C. Circuit's ruling into binding obligations across the defense contractor base through FAR 52.204-30. Its scope – in particular, whether it purports to restrict use outside contract performance – will show how aggressively the Department intends to use the precedent.

04 **A second domestic designation under FASCSA**

The clearest sign that the Anthropic case has become a template would be a FASCSA exclusion of another domestic technology vendor on the basis of design control rather than foreign ties or hostile intent. Watch for designations arising from disputes over usage terms, update control or data access.

05 **FY2027 NDAA text on supply chain risk definitions**

An amendment to the definitions in 10 U.S.C. § 3252 or 41 U.S.C. § 4713 would change the legal landscape more decisively than further litigation. Watch the final text for language either restoring a hostile-intent requirement or confirming the Department's broader reading, and for proposals requiring AI vendors to give the government override mechanisms.

06 **Terms of any Department arrangement for Mythos-class capabilities**

If the Department or the intelligence community formalizes access to Anthropic's most capable models, the terms will show whether the designation is a durable exclusion or a bargaining position. A negotiated arrangement that leaves Anthropic's usage restrictions intact would confirm that the dispute is about control, not security.

The designation of Anthropic as a supply chain risk is not, ultimately, an AI story. It is a story about the outer limits of executive procurement power over domestic companies. The statutory framework invoked was designed for vendors like Huawei, whose products were assessed as vectors for state-sponsored interference in critical infrastructure. It has now been applied, with appellate approval, to an American company whose 'security risk' consisted of two usage restrictions and the means to enforce them.

One federal court has found that application unconstitutional and unlawful under the narrower statute. Another has upheld it under the broader one, on reasoning that requires neither foreign ties, nor hostile intent or even covert conduct. That second ruling is the precedent. It establishes that a supplier's control over how its product behaves can itself be a national security risk, and it leaves the assessment of that risk largely to the Secretary. Whether the designation would rewrite the rules is no longer an open question; the D.C. Circuit’s ruling has already done so. What remains to be seen is whether the full court, the Supreme Court or Congress will restore a meaningful limiting principle before the instrument is used again.

For supply chain risk professionals, the analytical takeaway is now concrete. The procurement authorities built to protect American supply chains from foreign adversaries are available, in judicially tested form, as instruments for managing domestic vendors that will not accept the government's terms. The Anthropic case was the first use. Every organization with AI in its defense supply chain – or any software whose behavior it does not fully control – should plan on the assumption that it will not be the last.

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